STUDY UNIT G WITHHOLDING TAXES

INTRODUCTION



The concept of withholding taxes allows for the collection of taxes at source. In this case the paying entity pays a net amount to the recipient and remits the tax withheld to the tax authorities (ZIMRA). In certain instances, income subject to withholding taxes is exempt from further taxes (i.e. the withholding tax withheld would be treated as a final tax). The withholding taxes we are going to discuss in this study unit are levied in terms of the Income Tax Act.

OBJECTIVE OF STUDY UNIT

- Identify the various types of withholding taxes.
- Determine the withholding taxes which are a final tax.

STUDY MATERIAL

- Tax legislation Handbook
- Tax Module

COMPETENCE FRAMEWORK EXPECTATION

Professional competences

a. Ethical Behaviour
b. Critical thinking skills
c. Problem solving skills
d. Professional skills

Technical competences

VII-2. Prepares tax calculations and advises on tax matters in accordance with legal requirements.		
Competence	Requirements	Level
Calculates other taxes in terms of the Income Tax Act	• Identifies and determines other taxes payable in terms of the Income Tax Act. This includes for example – withholding taxes. • Calculates the other taxes payable in terms of the Income Tax Act	Level A, I and X

EXAMINATION POSSIBILITIES

Discussion and calculation questions that will require the student to demonstrate the appropriate level of competence as well as ability to link with other taxes.

ASSUMED KNOWLEDGE

It is assumed that you have knowledge of the basic tax system as well as the general rules behind income tax.

AREAS OF INTEGRATION

Withholding taxes will be integrated with the rest of Acts within this module and will rarely be tested in isolation, Like income tax for individuals and corporates, withholding taxes are an integral part of tax planning which is necessary in decision making,

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COURSE NOTES

General:

All withholding taxes, with the exception of Non-Resident Shareholders' Tax, are payable to ZIMRA within 10 days of the payee being paid or becoming entitled to the payment, dividend, interest, fees commission, royalty or remittance.

Non-Resident Shareholders' Tax is payable within 30 days of distribution of or becoming entitled to the dividend. For all withholding taxes penalties of up to 100% of the unpaid tax can be imposed. Interest is charged at 10% per annum for each month or part thereof during which the tax and penalties remain unpaid. Below we are going to discuss the various types of withholding taxes in detail.

Contract Payments.

Withholding tax of 30% should be withheld from payments of more than USD$1,000 (ZWL 130,000) or the prescribed amount, to residents and non-residents in terms of contracts unless a valid clearance certificate (ITF263) is provided by the payee. Non-residents are exempt from the 10% withholding tax on contracts since non-resident persons are not compelled to file returns.

Schools

In order to provide relief to schools that have accumulated tax arrears from failure to withhold tax there is an exemption on withholding Tax on Contracts in retrospect for a period of six years ending 31 December 2017.

WHT on RBZ Treasury Bills

Reserve Bank of Zimbabwe is exempt from the requirement to withhold 10% of amounts payable in cases where the recipient of interest accruing from Treasury Bills failed to produce a tax clearance certificate during the period 1 February 2009 to 30 November 2018.

Resident and Non-Resident Shareholders Tax: Sec 26 & 28

The following should be withheld from dividends paid to non-resident shareholders and resident individuals, partnerships and Trusts.

Dividend from Listed Companies	10%
Dividend from all other companies	15%

Please note that the above withholding tax does not apply if the dividend is payable to a company *incorporated in Zimbabwe.*

Non-Residents Tax on Fees – Sect 30 and 17th schedule.

Non-residents tax on fees are levied in terms of section 30 (a.r.w the 17th Schedule) of the Income Tax Act. In terms of the 17th schedule par 2(1) every payer of fees to a **non-resident person** shall withhold non-residents' tax on **fees** from those fees and shall pay the amount withheld to the Commissioner **within 10 days** of the date of payment or within such further time as the Commissioner may for good cause allow. **The withholding tax rate is 15%.**

From the above requirement there are two important terms that are key to triggering the requirement for the payment of the non-resident tax on fees, namely:

a) **Non-resident person'** means - a person, other than a company, who; or a partnership or foreign company which is not ordinarily resident in Zimbabwe. This means the definition is met any time that a resident taxpayer in Zimbabwe makes payments to a foreign resident entity or individual.

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b) Fees - means any amount from a source within Zimbabwe payable in respect of any services of a technical, managerial, administrative or consultative nature, but does not include any such amount payable in respect of—

(i) services rendered to an individual unconnected with his business affairs; or
(ii) services rendered by any person in his capacity as an employee, other than a director, of the payer; or
(iii) education or technical training; or
(iv) the repair of goods outside Zimbabwe; or
(v) any project which is specified for the purposes of this subparagraph by the Minister by notice in a statutory instrument.
(vi) services rendered to a licensed investor in respect of his operations in an export processing zone.
(vii) services rendered to an industrial park developer in respect of the operation of his industrial park.
(viii) export market services rendered by an agent of a company that exports goods from Zimbabwe:

Provided, however, that the fees payable to the agent must not exceed 5% of the "free on board value" (as that phrase is defined in the Customs and Excise Act [Chapter 23:02]) of the exports of the company for the year of assessment concerned, as confirmed on acquaintance by the company of the export documentation relating to its exports in that year;

Therefore, let's apply the above definition to the following examples of payments that may be made to non-resident persons/entities.

Service	Comment
Student registration fees paid to a foreign university or body e.g., Wits University, ACCA	This is education related and is specifically excluded from the definition of fees, therefore **does not** attract the non-resident tax on fees.
Annual license fees – e.g., payment for pastel accounting package license fees.	The service is in connection with the right of use rather than technical in nature therefore **does not** meet the definition of fees hence no withholding tax levied.
Management fees paid to a foreign parent company.	Managerial fees paid to a connected entity therefore subject to the withholding tax.
Payment for repair of machinery in South Africa	Specifically excluded therefore not subject to the withholding tax.

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Non-resident tax on remittances – sect 31 and 18th schedule.

In terms of the 18th schedule any non-resident person who effects any **remittance** in respect of **allocable expenditure** shall in relation to such remittance **pay non-residents' tax** on remittances to the Commissioner **within 10 days of the date of remittance** or within such further time as the Commissioner may for good cause allow. The rate of the withholding tax is **15%**.

Allocable expenditure: means expenditure of a **technical, managerial, administrative or consultative** nature **incurred outside Zimbabwe** by **a non-resident person** in connection with or allocable to the carrying on by him of **any trade within Zimbabwe.**

From the above definitions the following requirements have to be met for a non-resident tax on remittances be payable to ZIMRA:

Requirement	Explanation
What expenditure is being paid for?	Technic al, managerial, administrative consultative in nature. E.g., management fees, training on the use of software.
Where was the expenditure incurred?	For the withholding tax to apply the expenditure above should have been incurred **outside** Zimbabwe, for the benefit of the taxpayers Zimbabwe operations.
Who paid for the expenditures?	The expenditures would have to be paid by a **non-resident person** for the withholding tax to apply. Refer to the X Ltd. example above. *non-resident person" means a person who, or partnership which, is not ordinarily resident in Zimbabwe, but does not include a licensed investor;*
Was the remittance in connection with expenditure made?	A remittance in connection with theexpenditure should have been made and remittance is defined as **"the transfer of any amount from Zimbabwe to another country".**

Example:

X Ltd. a bank based in South Africa and with operations in Zimbabwe paid an amount of $5,000 for technical consultancy services incurred in South Africa for the benefit of its Zimbabwean operations. X Ltd. Paid for the services from its cash balances in Zimbabwe to a supplier in South Africa

From the above since X Ltd. made a payment to a South African supplier in respect of allocable expenditure, X will have to withhold $750 (15% * $5,000) in respect of the payment.

Non-Resident tax on royalties – sect 31 and 19th schedule.

Non-residents tax on royalties are levied in terms of section 31 (a.r.w the 19th Schedule) of the Income Tax Act. In terms of the 19th schedule par 2(1), every payer of **royalties** to a **non-resident**

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person shall withhold non-residents' tax on royalties from those royalties and shall pay the amount withheld to the Commissioner within 10 days of the date of payment or within such further time as the Commissioner may for good cause allow. The withholding tax rate is 15%.

Therefore, in order to determine which payments are subject to this tax we need to look at two key terms:

a) Non-resident person; "means a person, other than a company, who; or a partnership or foreign company which; is not ordinarily resident in Zimbabwe. This definition is exactly the same as the one under non-resident tax on fees.
b) Royalties "means any amount from a source within Zimbabwe payable as a consideration for the use of, or the right to use, any literary, dramatic, musical, artistic, scientific or other work whatsoever (including cinematograph films or recordings) in which any copyright exists, any patented article, trade mark, design or model, plan, secret formula or process, or for the use of, or the right to use, industrial, commercial or scientific equipment, or for information concerning industrial, commercial or scientific experience". From the above definition the key requirements are that the taxpayer should be paying for the right of use of intellectual property, for the payment to meet the definition of a royalty.

We will now apply the above definitions to the services for which ICAZ is making payments to non-resident persons:

Service	Comment
Student registration fees paid to a foreign university.	The taxpayer will not be paying for the right of use but rather their students will receive tuition services from the foreign university. Therefore, does not trigger the non-resident tax on royalties.
LTS – Access fee for a software for students.	The taxpayer will be paying for the right of use of the LTS system over which a patent or copy right exists. Therefore, the taxpayer should withhold a non-resident tax on royalties on payments to LTS.
Information Kinetics – Monthly retainer fee for software consultants for a database that serves both members and students	The taxpayer will be paying for the right of use of a software that allows them to keep a database of members and students. Since the taxpayer is paying for a right of use it therefore meets the definition of a royalty payment and thus subject to non-resident tax on royalties.

The taxpayer will therefore be required to withhold the non-resident tax on royalties at a rate of 15% for each payment made on the qualifying services.

Resident Tax on Interest: Sec 34 & 21st schedule

15% should be withheld from interest paid by a financial institution (e.g., banks, building societies, the Reserve Bank and other financial institutions (including unit trust managers, asset managers)) on loans and deposits and income from Treasury Bills, Bankers Acceptances and instruments traded by financial institutions.

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5% should be withheld from interest on fixed term deposits for at least 90 days.
Please note that the withholding tax deducted will be a final tax on the gross income which is exempt from Income tax.

Non-Executive Directors Fees: sec 36 J

20% should be withheld from payments to **resident and non-resident non-executive directors** who are not subject to PAYE. Non-executive director's fee qualifies as business income and tax withheld is deductible from income tax payable.

Example:

Takunda is a non-executive director for H Ltd and during October 2022 he was in receipt of $2,300 in respect of his board fees for the quarter ended 30 June 2022. Discuss the tax implications of the payment to Takunda.

H Ltd will be required to withhold 20% of the $2,300 paid to Takunda since the amount qualifies as a non-executive director's fees and they should remit the amount within 10days of making the payment to Takunda. In Takunda hands the fees received from H Ltd will qualify to be trade and investments income taxable at a rate of 24.72%. However, Takunda will be allowed to deduct the tax withheld by H Ltd. From the tax payable in respect of his director's fees.

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PRACTICE QUESTION

After passing your ZCTA exams you commenced your articles of Clerkship with one of the big four firms in Gweru. On your first assignment, you were requested to assist with one of the firm's clients Shingai (Pvt) Ltd) in the tax department. The tax director requested you to assist the client in preparing their income tax computation for the 2021 tax year.
The client identified the following transactions but was not sure of the tax treatment thereof.

1 During the year 2021 Shingai entered into an agreement with a Chinese supplier, Gaunchin Pvt (Ltd), for the supply of irrigation equipment, the servicing of the equipment as well as the right to be the sole distributor in Zimbabwe. Shingai purchased the first consignment of the irrigation equipment from an unregistered local supplier affiliated to Gauchin for $1,000,000. Thereafter all consignments were purchased from Gaunchin.

2 During the year Shingai paid $20 000 in fees for the use of the Gauchin trademark and $150,000 for the distribution license. Shingai also won a tender to supply and install an irrigation system on the ARDA farm in Mutorashanga. Shingai contracted Gaunchin to provide engineering support for the tender. The support involved Gaunchin sending one of their senior engineers to provide technical knowledge on the type of irrigation system required and the necessary implements that will be needed. Gaunchin was unable to send their senior engineer but instead sent an engineer from their South African subsidiary who had offices in Zimbabwe to do the job. Shingai paid the Zimbabwean office of the South African subsidiary $12,000, which then forwarded it to Gaunchin.

3 As a result of their relationship with Gaunchin and winning the tender Shingai declared a dividend $100,000. Its shareholding structure is as follows:

	%	$
Nash Ltd (an unlisted company registered in South Africa)	55	550
Mr Edward Dziva (ordinarily resident in Zimbabwe)	25	250
Mvura Trust (a Zimbabwean Trust)	15	150
Ms. Serena Willams (a resident in Canada)	5	50
	100	
Issued share capital		1,000
Retained profit on 31 December 2021		350,120
Equity at 31 December 2021		351,120

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Required

(a)	Advise the Director of Shingai as to the Withholding tax consequences of the above transactions. *Communication skills – layout*		

Suggested Solution

a)	Advise the Director of Shingai as to the Withholding tax consequences of the above transactions. *Communication skills – layout*	SECTION	Marks
	$1,000,000 paid to a local supplier.		
	Payment is above $130,000.		1
	Supplier is unregistered thus does not have an ITF 263		1
	Withhold 30% of $1,000,000		1
	Note 2		
	$20,000 paid for use of trademark.		
	Trademark is intellectual property.		1
	The amount is for the right to use the intellectual property.		1
	It is being paid to a non-resident.		
	Therefore, payment is a royalty to a non-resident.		1
	Withhold 15% non-resident tax on royalties.		1
	Note 2.2		
	$12,000 paid to SA subsidiary		
	SA subsidiary is a non-resident		
	Work done is technical work		1
	Therefore withhold 15% non-resident tax on fees		1
	If SA subsidiary is not registered withhold further 10% of the $12,000 because • Payment is above $1,000 • No ITF 263		1

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	Remittance by SA subsidiary to Gaunchin		1
	Work performed within Zimbabwe thus does not meet definition of allocable expenditure.		1
Available			13
Maximum			13

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